

Nexchip (688249.SS)

28nm / 22nm Capacity in expansion; better mix toward power semis; Neutral

688249.SS 12m Price Target: **Rmb60.00** Price: **Rmb35.67** Upside: **68.2%**

We expect Nexchip's continued capacity expansion, toward 28nm / 22nm in 2027E, supporting its product mix upgrade toward more advanced process nodes, and better end market exposure (e.g. more advanced logics, power semis, and less exposure to consumer electronics). Power semis enjoy exposure to servers, starting contribution in 2H26, and will continue to ramp up through 2027; the expansion toward 28nm in 2027E will also support the company's expansion in OLED DDIC; Silicon photonics IC fabrication is also under preparation, targeting sampling 100G / 200G per lane in 4Q27. We expect these new products along with rising price on power semis under strong AI spending will continue to support the company's growth. We expect revenues to grow at 24% / 29% YoY in 2026-27E with OPM up to 14% by 2027E.

Earnings revisions: We factor in 2Q26 results and revise our 2026E-28E net income by -17%/-6%/-14%. We lower our 2026E-27E revenues by -10%/-7% to reflect the 2Q26 miss, which we attribute to slow consumer electronics market under the high memory costs, and our previous assumption on product mix upgrade toward 55nm and advanced being too aggressive. We continue to expect product mix upgrade but at a slower pace. Our GM in 2026E is reduced to reflect the 2Q26 miss, while slightly increased in 2027-28E to reflect the ongoing product mix upgrade and new product roll-out driving higher exposure to data centers, offering better price under the strong demand. We raise our 2026E opex ratio by 2.4ppts to reflect R&D for new product roll-outs, and keep our 2027-28E opex ratio at a similar level as 2026E. Together with a higher tax rate (reflecting 2Q26 results), our 2026-28E NI estimates are revised down by -17%/-6%/-14%.

NEUTRAL

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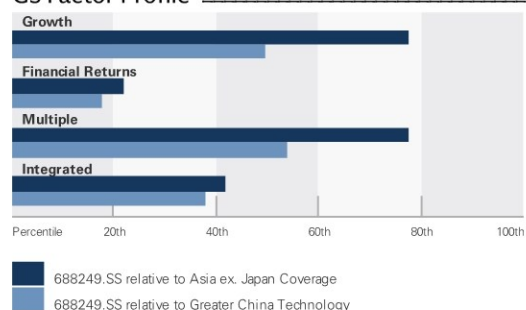
Key Data

Market cap: Rmb71.6bn / \$10.7bn
Enterprise value: Rmb98.1bn / \$14.6bn
3m ADTV: Rmb1.9bn / \$274.0mn
China
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	10,885.4	13,511.6	17,400.8	20,635.8
Revenue (Rmb mn) Old	10,885.4	14,953.9	18,723.5	20,685.3
EBITDA (Rmb mn)	4,951.2	5,638.0	7,183.5	8,462.0
EPS (Rmb) New	0.35	0.57	1.04	1.64
EPS (Rmb) Old	0.35	0.68	1.11	1.90
P/E (X)	71.1	63.0	34.2	21.7
P/B (X)	1.8	2.5	2.4	2.2
Dividend yield (%)	0.0	0.6	1.1	1.7
CROCI (%)	11.3	10.4	10.3	10.3
	6/26	9/26E	12/26E	3/27E
EPS (Rmb)	0.10	0.15	0.30	0.19

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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NEUTRAL

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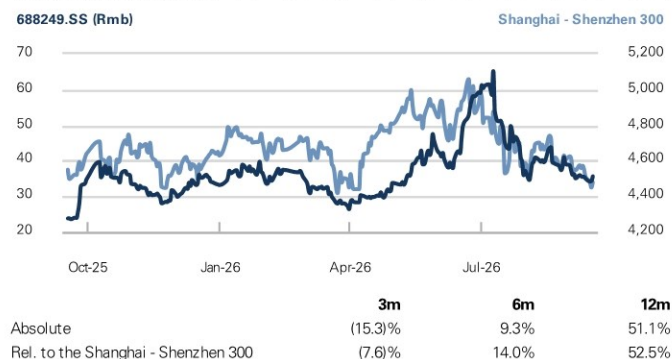
Rating since Sep 17, 2025

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	71.1	63.0	34.2	21.7
P/B (X)	1.8	2.5	2.4	2.2
FCF yield (%)	(11.7)	(10.0)	(9.0)	(5.3)
EV/EBITDAR (X)	14.0	17.4	14.7	13.0
EV/EBITDA (excl. leases) (X)	14.0	17.4	14.7	13.0
CROCI (%)	11.3	10.4	10.3	10.3
ROE (%)	3.3	5.1	9.1	13.3
Net debt/equity (%)	68.6	92.2	112.0	119.8
Net debt/equity (excl. leases) (%)	68.6	92.2	112.0	119.8
Interest cover (X)	2.2	2.3	4.7	7.3
Days inventory outst, sales	54.0	49.5	48.7	48.7
Receivable days	36.5	35.0	34.0	33.0
Days payable outstanding	87.9	80.0	86.0	86.0
DuPont ROE (%)	2.5	3.9	7.0	10.2
Turnover (X)	0.2	0.2	0.2	0.3
Leverage (X)	1.9	2.2	2.4	2.6
Gross cash invested (ex cash) (Rmb)	51,464.5	63,702.6	76,946.9	88,794.8
Average capital employed (Rmb)	43,401.8	51,333.3	59,564.3	67,290.9
BVPS (Rmb)	14.00	14.34	15.00	16.04

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	17.7	24.1	28.8	18.6
EBITDA growth	22.0	13.9	27.4	17.8
EPS growth	32.1	61.3	84.5	57.1
DPS growth	(100.0)	NM	84.5	57.1
EBIT margin	7.5	9.3	14.1	17.2
EBITDA margin	45.5	41.7	41.3	41.0
Net income margin	6.5	8.4	12.0	16.0

Price Performance

Source: FactSet. Price as of 16 Sep 2026 close.

Income Statement (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	10,885.4	13,511.6	17,400.8	20,635.8
Cost of goods sold	(8,107.3)	(10,142.6)	(12,109.2)	(13,776.3)
SG&A	(465.8)	(595.7)	(626.4)	(701.6)
R&D	(1,453.4)	(1,462.0)	(2,147.0)	(2,517.6)
Other operating inc./.(exp.)	(41.3)	(50.0)	(69.6)	(82.5)
EBITDA	4,951.2	5,638.0	7,183.5	8,462.0
Depreciation & amortization	(4,133.5)	(4,376.7)	(4,735.0)	(4,904.2)
EBIT	817.7	1,261.3	2,448.5	3,557.8
Net interest inc./.(exp.)	(339.6)	(515.9)	(456.7)	(373.1)
Income/(loss) from associates	1.4	16.8	—	—
Pre-tax profit	466.7	1,160.3	2,199.9	3,464.7
Provision for taxes	(0.2)	(51.1)	(110.0)	(176.7)
Minority interest	237.7	27.3	6.8	6.8
Preferred dividends	—	—	—	1.0
Net inc. (pre-exceptionals)	704.2	1,136.5	2,096.8	3,295.8
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	704.2	1,136.5	2,096.8	3,294.8
EPS (basic, pre-exception) (Rmb)	0.35	0.57	1.04	1.64
EPS (diluted, pre-exception) (Rmb)	0.35	0.57	1.04	1.64
EPS (basic, post-exception) (Rmb)	0.35	0.57	1.04	1.64
EPS (diluted, post-exception) (Rmb)	0.35	0.57	1.04	1.64
DPS (Rmb)	0.00	0.21	0.38	0.60
Div. payout ratio (%)	0.0	36.5	36.5	36.5

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	2,276.6	3,018.4	3,833.9	4,976.1
Accounts receivable	1,187.5	1,403.8	1,838.0	1,893.4
Inventory	1,714.9	1,953.1	2,691.5	2,819.1
Other current assets	2,365.8	2,365.8	2,365.8	2,365.8
Total current assets	7,544.7	8,741.1	10,729.2	12,054.4
Net PP&E	30,655.0	39,969.5	48,005.5	55,918.1
Net intangibles	1,322.8	1,040.0	924.0	762.0
Total investments	549.7	549.7	549.7	549.7
Other long-term assets	13,225.7	13,225.7	13,225.7	13,225.7
Total assets	53,298.0	63,526.1	73,434.1	82,509.9
Accounts payable	1,709.3	2,736.8	2,969.5	3,522.4
Short-term debt	2,026.1	2,026.1	2,026.1	2,026.1
Short-term lease liabilities	—	—	—	—
Other current liabilities	1,526.1	2,032.1	2,382.5	2,819.6
Total current liabilities	5,261.4	6,795.0	7,378.1	8,368.0
Long-term debt	19,519.7	27,519.7	35,519.7	41,519.7
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	429.1	429.1	429.1	429.1
Total long-term liabilities	19,948.8	27,948.8	35,948.8	41,948.8
Total liabilities	25,210.3	34,743.8	43,326.9	50,316.9
Preferred shares	—	—	—	—
Total common equity	21,768.5	22,490.4	23,822.1	25,914.8
Minority interest	6,319.2	6,291.9	6,285.0	6,278.2
Total liabilities & equity	53,298.0	63,526.1	73,434.1	82,509.9
Net debt, adjusted	19,269.2	26,527.4	33,711.9	38,569.7

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	704.2	1,136.5	2,096.8	3,294.8
D&A add-back	4,133.5	4,376.7	4,735.0	4,904.2
Minority interest add-back	(237.7)	(27.3)	(6.8)	(6.8)
Net (inc)/dec working capital	(890.9)	572.9	(939.8)	369.9
Other operating cash flow	133.7	0.0	0.0	—
Cash flow from operations	3,842.9	6,058.8	5,885.1	8,562.1
Capital expenditures	(9,707.7)	(13,217.0)	(12,354.9)	(12,354.9)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(572.3)	(100.0)	(300.0)	(300.0)
Cash flow from investing	(10,280.0)	(13,317.0)	(12,654.9)	(12,654.9)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(778.6)	0.0	(414.6)	(765.0)
Inc/(dec) in debt	2,360.4	8,000.0	8,000.0	6,000.0
Other financing cash flows	1,304.1	0.0	0.0	0.0
Cash flow from financing	2,885.9	8,000.0	7,585.4	5,235.0
Total cash flow	(3,551.1)	741.8	815.5	1,142.2
Free cash flow	(5,864.8)	(7,158.2)	(6,469.8)	(3,792.8)

Source: Company data, Goldman Sachs Research estimates.

Exhibit 1: Earnings revisions

Rmb mn	2026E			2027E			2028E		
	Old	New	Chg	Old	New	Chg	Old	New	Chg
Revenue	14,954	13,512	-10%	18,723	17,401	-7%	20,685	20,636	0%
GP	4,291	3,369	-21%	5,495	5,292	-4%	6,739	6,859	2%
OP	1,606	1,261	-21%	2,475	2,449	-1%	3,610	3,558	-1%
Net income	1,368	1,136	-17%	2,233	2,097	-6%	3,811	3,295	-14%
Margins									
GM	28.7%	24.9%	-3.8%	29.4%	30.4%	1.1%	32.6%	33.2%	0.7%
OPM	10.7%	9.3%	-1.4%	13.2%	14.1%	0.9%	17.4%	17.2%	-0.2%
NM	9.1%	8.4%	-0.7%	11.9%	12.0%	0.1%	18.4%	16.0%	-2.5%

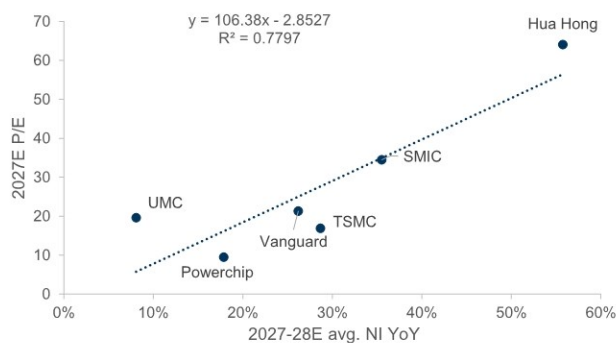
Source: Goldman Sachs Global Investment Research

Exhibit 2: Nexchip: 2Q26 results snapshot

Rmb mn	2Q25	1Q26	2Q26	YoY	QoQ	GS	Act / GS
Revenue	2,631	2,912	3,045	16%	5%	3,356	-9%
GP	640	619	673	5%	9%	808	-17%
OP	165	170	210	27%	24%	304	-31%
Pre-tax income	146	29	207	42%	625%	217	-4%
Net income	197	51	195	-1%	284%	238	-18%
Margins							
GPM	24.3%	21.3%	22.1%			24.1%	-2.0 ppts
OPM	6.3%	5.8%	6.9%			9.0%	-2.1 ppts
NPM	7.5%	1.7%	6.4%			7.1%	-0.7 ppts

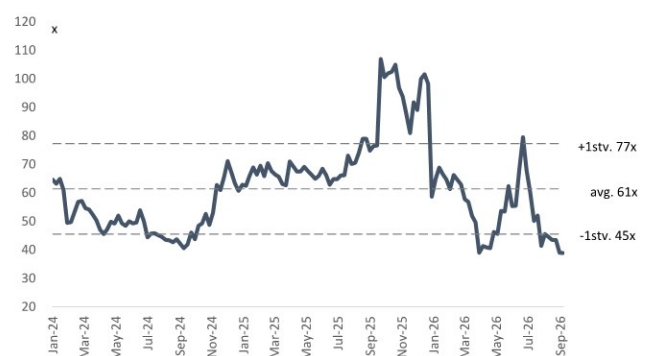
Source: Company data, Goldman Sachs Global Investment Research

Valuation: We continue to use 2030E discounted P/E to derive target price (methodology unchanged). Our 12-month target price is Rmb60.0 (down from Rmb70.0 previously). Our target P/E multiple is derived from peers' correlation of forward year trading P/E and NI growth, which is 26.6x (down from 31x previously), based on the company's 2030-31E avg. NI YoY at 28%. We apply the 26.6x target P/E and discount it back to 2027E with a COE of 9% (no change). Our new TP implies 57x 2027E P/E, which is close to the company's avg. PE of 61x since 2024. Maintain Neutral.

Exhibit 3: Peers' correlation of forward year trading P/E and net income growth

Refinitive Eikon consensus for UMC, Vanguard, and Powerchip

Source: Company data, Refinitiv Eikon, Goldman Sachs Global Investment Research

Exhibit 4: Nexchip 12M forward P/E

Source: Goldman Sachs Global Investment Research, Eikon Datastream

Exhibit 5: Nexchip discounted P/E

Rmb mn	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Revenue	7,244	9,249	10,885	13,512	17,401	20,636	23,731	27,291	31,385
Rev YoY %	-28%	28%	18%	24%	29%	19%	15%	15%	15%
Gross margin	21.6%	25.5%	25.5%	24.9%	30.4%	33.2%	34.6%	36.2%	37.2%
Gross profit	1,565	2,359	2,778	3,369	5,292	6,859	8,211	9,879	11,675
Opex	1,411	1,712	1,960	2,108	2,843	3,302	3,322	3,548	3,766
Opex ratio	19%	19%	18%	16%	16%	16%	14%	13%	12%
OP income	155	647	818	1,261	2,449	3,558	4,889	6,331	7,909
OPM	2%	7%	8%	9%	14%	17%	21%	23%	25%
Non-op gains	(35)	(165)	(351)	(101)	(249)	(93)	(93)	(93)	(93)
Pre-tax profit	119	482	467	1,160	2,200	3,465	4,796	6,238	7,816
Tax expense	0	0	0	51	110	177	245	318	399
Minority interest	(92)	(51)	(238)	(27)	(7)	(7)	(7)	(7)	(7)
Net profit	212	533	704	1,136	2,097	3,295	4,551	5,920	7,417
YoY	-93%	152%	32%	61%	84%	57%	38%	30%	25%
EPS	0.11	0.27	0.35	0.57	1.04	1.64	2.27	2.95	3.69
2030 Target P/E									26.6x
12M target price (Rmb)					60				
TP implied P/E					57	37	26		

COE assumption	
Beta	0.90
Risk free	3.5%
Market risk premium	6.5%
COE	9%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: Nexchip P&L

Rmb m	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2022	2023	2024	2025	2026E	2027E	2028E
Revenues	2,568	2,631	2,931	2,756	2,912	3,045	3,306	4,249	10,051	7,244	9,249	10,885	13,512	17,401	20,636
GP	700	640	766	673	619	673	881	1,196	4,639	1,565	2,359	2,778	3,369	5,292	6,859
OP	249	165	246	158	170	210	324	557	3,404	155	647	818	1,261	2,449	3,558
Pretax income	86	146	163	71	29	207	307	618	3,156	119	482	467	1,160	2,200	3,465
Net income	135	197	218	154	51	195	296	595	3,045	212	533	704	1,136	2,097	3,295
EPS (Rmb)	0.07	0.10	0.11	0.08	0.03	0.10	0.15	0.30	2.02	0.11	0.27	0.35	0.57	1.04	1.64
Margins															
GM	27.2%	24.3%	26.1%	24.4%	21.3%	22.1%	26.6%	28.2%	46.2%	21.6%	25.5%	25.5%	24.9%	30.4%	33.2%
OPM	9.7%	6.3%	8.4%	5.7%	5.8%	6.9%	9.8%	13.1%	33.9%	2.1%	7.0%	7.5%	9.3%	14.1%	17.2%
NM	5.3%	7.5%	7.4%	5.6%	1.7%	6.4%	9.0%	14.0%	30.3%	2.9%	5.8%	6.5%	8.4%	12.0%	16.0%
Ratios															
S&M ratio	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%	0.7%	0.7%	0.6%	0.7%	0.6%	0.6%	0.7%	0.6%	0.6%
G&A ratio	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.5%	3.5%	2.9%	3.7%	3.7%	3.7%	3.7%	3.0%	2.8%
R&D ratio	13.2%	13.6%	13.1%	13.6%	10.4%	10.1%	12.3%	10.5%	8.5%	14.6%	13.9%	13.4%	10.8%	12.3%	12.2%
Opex ratio	17.6%	18.0%	17.7%	18.7%	15.4%	15.2%	16.8%	15.0%	12.3%	19.5%	18.5%	18.0%	15.6%	16.3%	16.0%
YoY															
Revenues	15%	21%	23%	11%	13%	16%	13%	54%	85%	-28%	28%	18%	24%	29%	19%
GP	26%	24%	20%	4%	-12%	5%	15%	78%	89%	-66%	51%	18%	21%	57%	30%
OP	62%	68%	15%	-13%	-32%	27%	32%	252%	95%	-95%	319%	26%	54%	94%	45%
Net income	71%	83%	137%	-39%	-63%	-1%	36%	286%	76%	-93%	152%	32%	61%	84%	57%
QoQ															
Revenues	4%	2%	11%	-6%	6%	5%	9%	29%							
GP	8%	-9%	20%	-12%	-8%	9%	31%	36%							
OP	37%	-34%	49%	-36%	7%	24%	54%	72%							
Net income	-47%	45%	11%	-29%	-67%	284%	52%	101%							

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: Nexchip balance sheet

Rmb mn	2022	2023	2024	2025	2026E	2027E	2028E
Balance sheet							
Cash and equivalents	7,895	6,526	5,828	2,277	3,018	3,834	4,976
Net receivables	507	857	993	1,187	1,404	1,838	1,893
Inventory	1,022	1,493	1,503	1,715	1,953	2,691	2,819
Other current assets	1,416	3,069	1,420	2,366	2,366	2,366	2,366
Current assets	10,838	11,945	9,744	7,545	8,741	10,729	12,054
Net PP&E/Fixed assets	21,437	22,873	24,791	30,655	39,970	48,005	55,918
Net intangibles	1,434	1,358	1,313	1,323	1,040	924	762
Long term investments	-	100	177	550	550	550	550
Other long-term assets	5,055	11,880	14,373	13,226	13,226	13,226	13,226
Long term assets	27,926	36,211	40,655	45,753	54,785	62,705	70,456
Total assets	38,765	48,156	50,399	53,298	63,526	73,434	82,510
Accounts payable	926	8,000	2,194	1,709	2,737	2,970	3,522
Short-term debt	6,936	4,904	2,796	2,026	2,026	2,026	2,026
Other current liabilities	1,349	1,113	2,436	1,526	2,032	2,382	2,820
Current liabilities	9,211	14,017	7,426	5,261	6,795	7,378	8,368
Long-term debt	8,227	11,510	16,389	19,520	27,520	35,520	41,520
Other long-term liabilities	3,276	491	495	429	429	429	429
Long term liabilities	11,503	12,002	16,884	19,949	27,949	35,949	41,949
Total liabilities	20,715	26,018	24,310	25,210	34,744	43,327	50,317
Common stock	1,505	2,006	2,006	2,008	2,008	2,008	2,008
Treasury stock	-	-	(892)	(892)	(892)	(892)	(892)
Retained earnings	406	617	1,150	1,660	2,382	3,714	5,806
Other common equity	11,214	18,786	18,606	18,993	18,993	18,993	18,993
Total common equity	13,124	21,410	20,870	21,769	22,490	23,822	25,915
Minority interest	4,926	728	5,219	6,319	6,292	6,285	6,278
Total equity	18,050	22,138	26,089	28,088	28,782	30,107	32,193
BVPS	8.72	10.67	10.40	10.85	11.20	11.87	12.91
Cash conversion cycle							
Net receivable days	26	34	36	37	35	34	33
Inventory days	61	81	79	72	66	70	73
Net payable days	115	287	270	88	80	86	86
Cash conversion cycle	(28)	(172)	(154)	21	21	18	20
Ratios							
Net debt	7,268	9,887	13,358	19,269	26,527	33,712	38,570
gearing ratios	40%	45%	51%	69%	92%	112%	120%
Net cash per share	(5)	(5)	(7)	(10)	(13)	(17)	(19)
Dupont analysis							
Asset turnover	0.29	0.17	0.19	0.21	0.23	0.25	0.26
Leverage (assets to equity)	3.13	2.52	2.33	2.43	2.64	2.96	3.14
Net margin	30%	3%	6%	6%	8%	12%	16%
ROE (common equity)	27%	1%	3%	3%	5%	9%	13%
ROA	9%	0%	1%	1%	2%	3%	4%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 8: Nexchip Cash flow

Rmb mn	2022	2023	2024	2025	2026E	2027E	2028E
Cash flow statement							
Net income	3,045	212	533	704	1,136	2,097	3,295
Minority interest add-back	111	(92)	(51)	(238)	(27)	(7)	(7)
Depreciation and amortization add-back	2,644	3,159	3,410	4,134	4,377	4,735	4,904
Net loss/(gain) on asset sales	-	(0)	(0)	-	-	-	-
(Increase)/decrease in working capital	(1,354)	6,252	(5,952)	(891)	573	(940)	370
Other operating cash flow items	1,834	(9,691)	4,821	134	-	-	-
Cash flow from operating	6,280	(161)	2,761	3,843	6,059	5,885	8,562
Capital expenditure	(6,890)	(7,408)	(13,223)	(9,708)	(13,217)	(12,355)	(12,355)
Other investment cash flow items	(1,575)	(1,619)	1,416	(572)	(100)	(300)	(300)
Cash flow from investing	(8,466)	(9,027)	(11,807)	(10,280)	(13,317)	(12,655)	(12,655)
Dividends paid	(320)	(415)	(636)	(779)	-	(415)	(765)
Change in common stock	-	502	-	1	-	-	-
Increase/(decrease) in short-term debt	(2,004)	(2,032)	(2,107)	(770)	-	-	-
Increase/(decrease) in long-term debt	3,050	3,283	4,879	3,130	8,000	8,000	6,000
Change in minority interest	4,260	(4,197)	4,490	1,101	-	-	-
Other financing cash flow items	337	10,775	1,790	224	-	-	-
Cash flow from financing	5,323	7,915	8,416	2,908	8,000	7,585	5,235
Others	(538)	(96)	(69)	(22)	-	-	-
Net change in cash	2,599	(1,368)	(698)	(3,551)	742	816	1,142
Ratio							
Capex to revenues	69%	102%	143%	89%	98%	71%	60%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Nexchip

Valuation: We are Neutral-rated on Nexchip with a 12-month target price of Rmb60, which is based on 26.6x 2030E discounted P/E (discounted back to 2027E). Our target P/E is derived from peers' correlation of forward year trading P/E and NI growth.

Key Risks: Slower-/faster-than-expected capacity expansion;
weaker-/stronger-than-expected demand in DDIC and CIS;
slower-/faster-than-expected R&D; more/less intense competition than expected.

Disclosure Appendix

Reg AC

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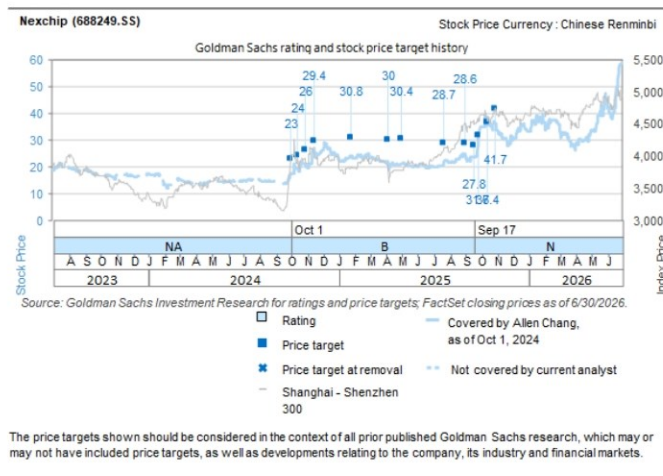
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Price target and rating history chart(s)



Target price history table(s)

Nexchip (688249.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
10-Jul-26	70.00	54.12
30-Oct-25	41.70	36.03
14-Oct-25	36.40	36.33
26-Sep-25	31.70	32.90
17-Sep-25	27.80	23.82
31-Aug-25	28.60	24.28
22-Jul-25	28.70	21.80
02-May-25	30.40	21.32
06-Apr-25	30.00	21.91
25-Jan-25	30.80	24.18
15-Nov-24	29.40	25.16
30-Oct-24	26.00	20.01
13-Oct-24	24.00	19.42
02-Oct-24	23.00	17.51

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